NMB Bank Limited

Annual Report — Fiscal Year 2022/23 (FY2023)

Registered Office: Babarmahal, Kathmandu, Nepal | Company Registration No.: 25478/064/065 | Listed on: Nepal Stock Exchange (NEPSE) — Symbol: NMB

Chairperson's Statement

On behalf of the Board of Directors, I am pleased to present the Annual Report of NMB Bank Limited for the fiscal year 2022/23. Despite a challenging macroeconomic environment characterised by tightening liquidity and elevated interest rates, NMB Bank delivered another year of resilient performance. Net profit grew by 9.8 percent year-on-year, total deposits crossed NPR 250 billion, and our capital adequacy ratio remained well above the regulatory minimum at 13.2 percent.

During the year, the Bank continued to expand its branch and digital footprint, opening 14 new branches across the Karnali and Sudurpaschim provinces. We also completed the acquisition of a majority stake in NMB Microfinance Bittiya Sanstha, taking our ownership to 70.0 percent, and re-affirmed our 51.0 percent stake in NMB Capital Limited.

— Ram Bahadur Khatri, Chairperson

Board of Directors (As at Ashadh 31, 2080 / 15 July 2023)

Name	Designation	Appointed
Ram Bahadur Khatri	Chairperson	2018
Sunita Sharma	Director (Independent)	2020
Pradeep K. Joshi	Director	2019
Anjali Pradhan	Director (Independent)	2021
Bibek Rana	Director	2022
Sushil Bhatta	Chief Executive Officer	2017
Manish Timalsina	Chief Financial Officer	2019

Financial Highlights — FY2023 (NPR in Millions)

Metric	FY2023	FY2022	Change %
Total Assets	298,420	274,310	+8.79%
Total Deposits	251,640	230,180	+9.32%
Loans and Advances	212,890	197,420	+7.84%
Total Equity	32,150	29,640	+8.47%
Net Interest Income	11,820	10,440	+13.22%

Operating Income	16,540	14,920	+10.86%
Net Profit	4,184	3,810	+9.82%
Capital Adequacy Ratio (CAR)	13.20%	12.85%	+35 bps
Non-Performing Loans (NPL)	2.41%	2.18%	+23 bps
Return on Equity (ROE)	13.45%	13.10%	+35 bps
Earnings Per Share (NPR)	23.40	22.15	+5.64%

Management Discussion and Analysis (MD&A;)

Operating Environment

The Nepalese banking sector navigated a difficult year with the Nepal Rastra Bank (NRB) maintaining a tight monetary stance to control imports and stabilise foreign exchange reserves. The policy rate was held at 7.0 percent for most of the year, and the cash reserve ratio (CRR) was retained at 4.0 percent. Despite these headwinds, NMB Bank maintained healthy net interest margins of 4.3 percent compared to 4.1 percent in FY2022.

Deposit and Lending Growth

Total deposits grew by NPR 21.46 billion to reach NPR 251.64 billion. Retail deposits contributed 62 percent of the deposit base, demonstrating the stickiness of the Bank's retail franchise. The loans-to-deposits ratio stood at 84.6 percent, well within the regulatory ceiling of 90 percent. Lending to the agriculture, hydropower, and SME sectors increased by 11.2 percent, 14.7 percent, and 9.4 percent respectively.

Asset Quality

The Non-Performing Loan ratio rose marginally to 2.41 percent from 2.18 percent the previous year, primarily attributable to stress in the tourism and trading portfolios in the first half of the fiscal year. Provision coverage was strengthened to 138 percent and write-offs of NPR 412 million were undertaken in the second half. We expect NPL ratios to normalise to under 2.20 percent by Q2 FY2024.

Capital and Liquidity

Capital Adequacy Ratio improved to 13.20 percent (FY2022: 12.85 percent), comfortably above the Basel III minimum of 11.0 percent set by Nepal Rastra Bank. Tier 1 capital ratio was 10.85 percent. The Bank issued NPR 2.0 billion of subordinated debentures in Magh 2079 to support Tier 2 capital.

Subsidiaries and Associates

Subsidiary / Associate	Ownership %	Principal Activity
NMB Capital Limited	51.0%	Merchant banking, IPO advisory
NMB Microfinance Bittiya Sanstha	70.0%	Microfinance services
NMB Insurance Brokers Pvt. Ltd.	100.0%	Insurance brokerage

Risk Management — Key Risk Factors

1. **Credit Risk:** Concentration in the hydropower and real estate sectors represents 28 percent of total loan exposure. A sustained decline in property prices or hydropower tariff compression would directly affect asset quality.

2. **Liquidity Risk:** Tightness in interbank markets during Q2 FY2023 caused short-term funding costs to spike by 180 basis points. The Bank has since increased its high-quality liquid asset buffer to 22 percent of total deposits.

3. **Foreign Exchange Risk:** Nepal's dependence on imports and remittance inflows exposes the Bank to indirect FX risk. Direct FX exposure is limited to NPR 4.2 billion in approved open positions.

4. **Cyber and Operational Risk:** The Bank invested NPR 380 million in cybersecurity and core banking upgrades during the year. Two minor phishing incidents were detected and contained in Falgun 2079 with no customer data loss.

5. **Regulatory Risk:** Anticipated changes to working capital lending guidelines and the proposed Banks and Financial Institutions Act (BAFIA) amendments may affect lending margins in FY2024.

Independent Auditor's Report

To the Shareholders of NMB Bank Limited:

We have audited the financial statements of NMB Bank Limited ("the Bank") for the year ended Ashadh 31, 2080 (15 July 2023). In our opinion, the financial statements give a true and fair view of the financial position of the Bank as at the year end, and of its financial performance and cash flows for the year then ended in accordance with Nepal Financial Reporting Standards (NFRS) and the Bank and Financial Institutions Act, 2073.

Key Audit Matters

(a) Expected Credit Loss on Loans and Advances: The Bank's loans and advances of NPR 212,890 million are net of expected credit loss provisions of NPR 5,142 million. The determination of provisions involves significant management judgement, particularly with respect to staging of loans and forward-looking macroeconomic adjustments.

(b) IT Systems and Controls: The Bank's reliance on automated processes and IT controls is significant. We tested the design and operating effectiveness of general IT controls and key application controls, including the new core banking release deployed in Mangsir 2079.

Audited by: **Deloitte Haskins & Sells**, Chartered Accountants. Registered Office: Babarmahal, Kathmandu. Audit partner: CA Rajesh Pradhan, ICAN Membership No. 4421. Audit report dated: Kartik 12, 2080.

Corporate Governance

The Board of Directors met 14 times during the fiscal year. The Audit Committee, chaired by Ms. Sunita Sharma (Independent Director), met 8 times. The Risk Management Committee met 6 times and reviewed the Bank's risk appetite framework in Chaitra 2079. Director attendance averaged 92 percent across all meetings.

NMB Bank complies with the Corporate Governance Directives issued by Nepal Rastra Bank and the Securities Board of Nepal (SEBON). The Bank's Code of Conduct was updated in Bhadra 2079 to incorporate enhanced whistleblower protections.

Dividend and Capital Distribution

The Board has recommended a cash dividend of 11.0 percent and a bonus share issue of 4.5 percent on paid-up capital, subject to approval at the Annual General Meeting. Total distribution equates to NPR 2,418 million, representing 57.8 percent of net profit for FY2023.